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2027 CYCLE

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CUET UG

Business Studies

Planning

Official Syllabus Unit IV · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit IV)	Skills the questions test
Meaning, features, importance, limitations	Meaning, features, importance, limitations.	Recalling that planning decides in advance what, how, when and who; listing features (primary, pervasive, futuristic, choice-based); pairing each importance point and each limitation with a situation.
Planning process	Planning process.	Ordering the seven steps — objectives, premises, identifying and evaluating alternatives, selecting, implementing, follow-up — and naming the step a described action belongs to.
Types of plans	Types of Plans – Objectives, Strategy, Policy, Procedure, Method, Rule, Budget, Programme.	Classifying a described plan into its type, separating rule from policy and method from procedure, and telling single-use plans (programme, budget) from standing plans.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. Unit IV carries one of the subject's most exam-heavy lists — eight types of plans — plus the seven-step process, so classification questions dominate here.

What Planning Actually Is

Before a single worker is hired, rupee spent or machine bought, someone decides **what** the firm is trying to achieve, **how** it will get there, **by when**, and **who** will do each part. That deciding-in-advance is planning — the function every other function builds on, because you cannot organise people around a task that has not been defined, staff a structure that does not exist, or control performance against a standard that was never set.

- **Definition:** planning means **setting objectives in advance and developing the courses of action** to achieve them — deciding in advance what to do, how to do it, when to do it and who is to do it.
- **A bridge:** planning bridges the gap between **where we stand now** and **where we want to reach**.
- **A mental exercise:** it requires applying the mind — foreseeing, imagining, judging — before any physical action follows.
- **A function of choice:** planning always involves **decision-making** — if there is only one possible course of action, there is nothing to plan.

The features of planning

- **Planning focuses on achieving objectives:** every plan serves stated goals — without objectives, plans have nothing to aim at.
- **Planning is a primary function:** it comes **first** — organising, staffing, directing and controlling all follow the plan. It precedes the execution of every other function.
- **Planning is pervasive:** every level and every department plans — the top plans strategy, the middle plans programmes, the supervisor plans the week.
- **Planning is continuous:** plans are made, revised and remade — one plan's end is the next plan's beginning.
- **Planning is futuristic:** it works with **forecasts** — it prepares for tomorrow by studying today's trends.
- **Planning involves decision-making:** the planner **chooses** among alternatives — that choice is the heart of the function.
- **Planning is a mental exercise:** it is thinking before doing — imagination, judgment and foresight on paper first.

Why planning matters — the importance

- **Provides direction:** the plan tells every department and employee **where to act and what to aim at** — efforts align instead of scattering.
- **Reduces the risk of uncertainty:** by anticipating change, the planner sees troubles early and prepares responses rather than improvising.
- **Reduces overlapping and wasteful activities:** a clear plan coordinates departments, so two teams stop buying the same material or mailing the same customer twice.
- **Promotes innovation:** planning forces managers to look for **new and better** ways of doing things — new products, new methods, new markets.
- **Facilitates decision-making:** with objectives and alternatives already on the table, decisions become rational choices rather than guesses.

- **Establishes standards for controlling:** the plan fixes the targets against which **controlling** later compares actual performance — without planning, controlling has no benchmark.

The limitations — what planning cannot do

- **Leads to rigidity:** managers follow the written plan even when the situation has changed and flexibility would pay better.
- **May not work in a dynamic environment:** the future resists prediction — technology, tastes and laws change faster than plans can be redrawn.
- **Reduces creativity:** with everything decided in advance, middle and lower levels simply **follow** rather than think and suggest.
- **Involves huge cost:** expert advice, research, data collection, meetings — planning spends real money before any real action begins.
- **Is time-consuming:** collecting facts, weighing options and drafting plans delays decisions — and sometimes the delay itself loses the opportunity.
- **Does not guarantee success:** a plan is only a road map — the environment can still turn, and poor execution can waste a brilliant plan.

The Planning Process

The syllabus asks for the planning **process** — the sequence of steps a firm follows from the first spark of a goal to the moment results are checked. Questions describe one step in words ("the managers listed four ways to raise funds, then compared their costs") and ask you to name it, so the **order** and the **one-line job** of each step both matter.



Figure 1: Figure 1 — The planning process: seven steps from setting objectives to follow-up, with the loop that feeds results back into the next plan.

- **Step 1 — Setting objectives:** state exactly what is to be achieved — for the whole organisation and for every unit — because objectives are the destination every later step serves. Clear objectives make the rest of the process answerable.
- **Step 2 — Developing premises:** build the **assumptions about the future** on which plans will stand — demand, prices, technology, government policy. Every manager must work on the **same** premises, or departments will plan for different worlds.
- **Step 3 — Identifying alternatives:** list every sensible route to the objectives — expand capacity, outsource, licence a brand, combine two of these. The more honest the list, the better the final decision.
- **Step 4 — Evaluating alternatives:** weigh each option for cost, risk, feasibility and fit with the premises — positive and negative points, calculated rather than guessed.
- **Step 5 — Selecting the best alternative:** choose the option with the best balance of benefit and risk — or the best **combination** of options. This is the moment of decision.
- **Step 6 — Implementing the plan:** put the chosen plan into action — assign tasks, allocate budgets, buy materials, schedule the work. A plan on paper produces nothing.
- **Step 7 — Follow-up action:** compare actual results with the plan, find the deviations and correct the course — the bridge to controlling, and the source of lessons for the next plan.

THE SEVEN STEPS — ONE LINE EACH

Objectives → Premises → Identify alternatives → Evaluate alternatives → Select the best → Implement → Follow-up.

EVERYDAY EXAMPLE — PLANNING A COLLEGE FEST

You **set the objective** (a two-day fest for 2,000 visitors), **develop premises** (expected footfall, sponsor mood, monsoon dates), **list alternatives** (book the ground or the auditorium, one day or two), **evaluate** them for cost and rain risk, **select** the best, **implement** — committees, budgets, posters — and **follow up** after the fest to note what next year's committee should repeat. Every step of the process, one weekend of your life.

Types of Plans

"Plan" is an umbrella word — under it sit eight distinct kinds, each answering a different question. The exam's favourite task is to describe a plan in a sentence and ask **which type it is**, so learn each type by its **question** and its **example**. A further split runs across the list: **standing plans** are reused again and again, while **single-use plans** are built for one situation and retire when it ends.

Standing plans — made once, used repeatedly

- **Objectives — the destinations:** the specific end-results a unit must achieve within a set time; everything else in the plan hierarchy serves them. **Example:** "increase sales by 10% this year".

- **Policy — the thinking guidelines:** general statements that guide managers' decisions and leave some room for judgment. **Example:** "prices are set within 10% of competitors' prices" or "no discount beyond 20% without approval".
- **Procedure — the sequence of steps:** the exact order in which a recurring task must be carried out; it tells you **which step comes next**. **Example:** the admission procedure — form, documents, fee, roll number.
- **Method — the way one step is done:** the prescribed manner of performing **one step** of a procedure; it tells you **how** that step is done. **Example:** teaching a topic by lecture or by activity — the procedure lists "teach", the method chooses how.
- **Rule — the no-discretion statement:** a specific statement of what must or must not be done, leaving **no room for judgment**. **Example:** "identity cards must be worn at all times" — no exceptions, no interpretation.

Single-use plans — built for one situation

- **Strategy — the comprehensive game plan:** a broad plan that considers the **competitive situation and the environment** together and sets the direction for reaching the objective. **Example:** entering rural markets with low-cost small packs to beat a rival's urban strength.
- **Programme — the project package:** a **combination** of objectives, policies, procedures and budgets for one specific project, with its own sequence and deadlines. **Example:** the programme for launching a new product — every step from prototype to launch event.
- **Budget — the plan in numbers:** a statement of expected results **expressed in numerical terms** — rupees, units, hours — for a defined period. **Example:** "₹2 lakh for advertising this quarter"; the sales budget converts the sales objective into figures.

Type	Answers	Example	Class
Objective	What end result must be achieved?	Sales up 10% this year	Standing
Strategy	How do we win given competition and environment?	Low-cost packs for rural entry	Single-use
Policy	What general guidelines guide thinking?	No discount beyond 20% without approval	Standing
Procedure	In what sequence do the steps come?	Admission: form → documents → fee	Standing
Method	How is one step performed?	Lecture vs activity method	Standing
Rule	What must (not) be done — no discretion?	Identity cards at all times	Standing
Programme	What package of steps delivers this project?	New-product launch programme	Single-use

Type	Answers	Example	Class
Budget	What is the plan in numbers?	₹2 lakh ad budget for the quarter	Single-use

- **The two-family memory line:** if the plan will be **reused** — objective, policy, procedure, method, rule — it is **standing**; if it is built for **one project or one period** — strategy, programme, budget — it is **single-use**.

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT IV (PLANNING)

Term / fact	What it means	Example / number
Planning (meaning)	Deciding in advance what, how, when, who	Bridge: where we are → where we want to reach
Features (7)	Objective-focused, primary, pervasive, continuous, futuristic, choice-based, mental exercise	Primary = comes before all other functions
Importance (6)	Direction, less uncertainty, less overlap, innovation, decisions, standards for controlling	Controlling needs planning's standards
Limitations (6)	Rigidity, dynamic environment, less creativity, huge cost, time-consuming, no guarantee of success	A plan is a road map, not a guarantee
Process step 2	Developing premises = shared assumptions about the future	Demand, prices, policy assumed together
Process step 5	Selecting the best alternative — the decision moment	Best balance of benefit and risk
Objective	End result to achieve in a set time	Sales up 10% this year
Policy	General guideline for thinking — some judgment allowed	No discount beyond 20% without approval
Procedure	Sequence of steps for a recurring task	Admission: form → documents → fee
Method	Prescribed way to do one step	Lecture vs activity method
Rule	Fixed statement, no discretion	Identity cards at all times

Term / fact	What it means	Example / number
Strategy	Comprehensive plan vs competition + environment	Rural entry with low-cost packs
Programme	Combined objectives + policies + procedures for a project	New-product launch programme
Budget	Plan expressed in numbers for a period	₹2 lakh advertising budget
Standing vs single-use	Standing = reused (objective, policy, procedure, method, rule); single-use = one situation (strategy, programme, budget)	Budget retires when the period ends

Carry everywhere: planning is **primary** and **futuristic**; rule ≠ policy (no discretion vs judgment); procedure = sequence, method = one step's way.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"A rule and a policy are the same"	Rule = **no discretion**; policy = guideline that **allows judgment**	"Identity cards at all times" allows no choice; "discounts up to 20%" leaves room to decide.
"Procedure and method are the same"	Procedure = the **sequence** of steps; method = the way **one step** is performed	Admission procedure has steps; lecture-vs-activity is a method for the 'teach' step.
"Budget and programme are standing plans"	Both are **single-use** — built for one project or period	A quarterly budget retires when the quarter ends; the standing plans keep serving.
"Planning guarantees success"	Planning **does not guarantee** success — it only prepares for it	Plans still fail to a shifting environment or poor execution; the syllabus lists this as a limitation.

The mistake students make	What is right	The why / the trap
"Planning comes after organising"	Planning is the **primary** function — it precedes every other	You cannot staff or direct around a plan that does not exist.
"Developing premises means writing objectives"	Premises are **assumptions about the future**, objectives are **goals**	"Expected 15% demand growth" is a premise; "sell 10,000 units" is an objective.

- **Spot the pattern:** classification questions live on **discretion** — the less room the statement leaves for judgment, the closer it is to a rule.
- **One special case:** when a question describes "a combination of objectives, policies, procedures and rules for launching a project", the intended type is a **programme** — the package word is the giveaway.

The Whole Chapter on One Page

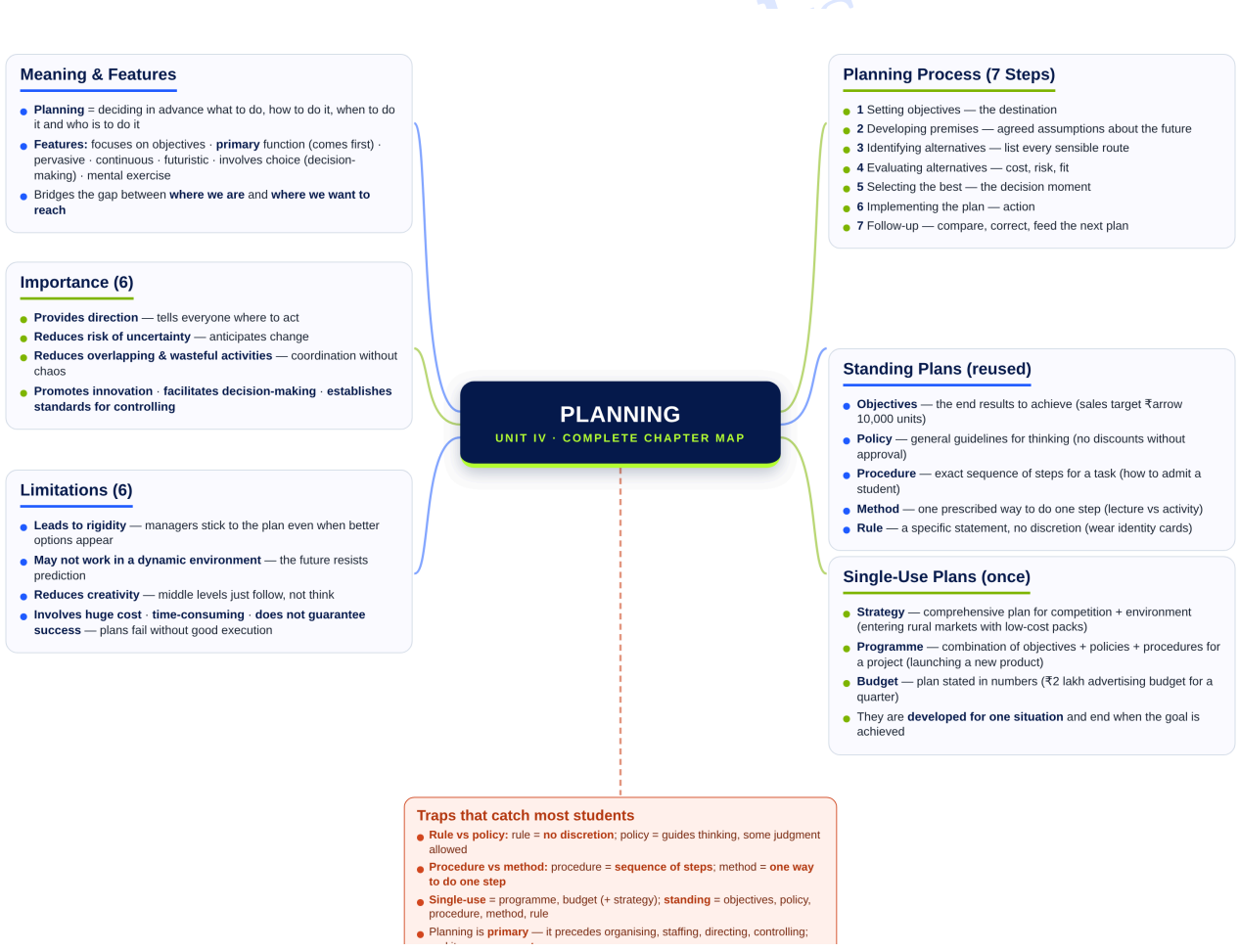


Figure 2: Figure 2 — Whole chapter on one page: meaning and features, importance, limitations, the seven-step process, and all eight types of plans with their families, plus the four traps that catch most students.

Practice Questions

Q1. Planning is called a "primary" function of management because:

(A) it is the simplest function to perform
(B) it comes first — all other functions are performed within the framework set by plans
(C) it is done only by the top level
(D) it requires no other function to succeed

Q2. "Identity cards must be worn by all employees at all times." The described type of plan is a:

(A) policy
(B) procedure
(C) rule
(D) method

Q3. A company's guideline says prices should be set within 10% of competitors' prices, leaving managers room to decide the exact figure. This is a:

(A) rule
(B) policy
(C) procedure
(D) budget

Q4. The admission process runs form → document check → fee payment → roll number. The described type of plan is a:

(A) method
(B) procedure
(C) policy
(D) programme

Q5. While planning a product launch, the team lists four promotional approaches, compares their costs and reach, and picks the best. The last action described belongs to which step of the planning process?

(A) developing premises
(B) identifying alternatives
(C) evaluating alternatives
(D) selecting the best alternative

Q6. Assumptions about future demand, prices and government policy that all managers agree on while planning are called:

(A) objectives
(B) premises
(C) strategies
(D) rules

Q7. Which set contains only single-use plans?

(A) objectives, policies, rules
(B) budget, programme, strategy
(C) procedure, method, budget
(D) strategy, policy, rule

Q8. A firm builds a comprehensive plan to enter rural markets with low-cost small packs, considering its rival's urban strength. The described type of plan is a:

(A) budget **(B)** policy
(C) strategy **(D)** method

Q9. Which one of the following is a limitation of planning?

(A) it provides direction to all departments **(B)** it reduces overlapping activities
(C) it may create rigidity — managers stick to the plan even when flexibility would pay **(D)** it establishes standards for controlling

Q10. Planning and controlling are linked because:

(A) controlling replaces planning once work begins **(B)** planning sets the standards against which controlling compares actual performance
(C) both are performed only by the top level **(D)** controlling comes before planning in every cycle

Solutions

Sol. Q1. Planning comes **first**: organising builds the structure the plan needs, staffing fills it, directing works through it and controlling compares results with it. All other functions operate **within the framework the plan provides**.

Answer: (B)

Sol. Q2. A **rule** is a fixed statement of what must or must not be done, leaving **no discretion** — "at all times" allows no exception or judgment. A policy would allow judgment; a procedure would list steps.

Answer: (C)

Sol. Q3. A guideline that **directs thinking but allows judgment** about the exact figure is a **policy**. If discretion were zero — one fixed price — it would be a rule.

Answer: (B)

Sol. Q4. A fixed **sequence of steps** for a recurring task is a **procedure**. The steps follow one another in order — exactly what procedures define.

Answer: (B)

Sol. Q5. Comparing the listed options on cost and reach is **evaluating alternatives** — step 4. Selecting comes next (step 5) once the evaluation has happened; the sentence ends before the choice.

Answer: (C)

Sol. Q6. Premises are the shared assumptions about the future — demand, prices, policy — on which every manager's plan must stand. Objectives are goals, not assumptions.

Answer: (B)

Sol. Q7. Single-use plans are built for one situation or period: **budget, programme, strategy**. Objectives, policies, rules, procedures and methods are standing plans — reused continuously.

Answer: (B)

Sol. Q8. A broad plan that weighs **competition and the environment** to set a direction is a **strategy** — the rural-entry decision with low-cost packs against a rival's urban strength is the classic case.

Answer: (C)

Sol. Q9. Rigidity — following the written plan when flexibility would pay better — is a listed **limitation** of planning. The other options are all importance points, not limitations.

Answer: (C)

Sol. Q10. Planning sets the **standards** (targets, budgets, timelines); controlling later compares actual performance against those standards and corrects deviations. Controlling without planning has no benchmark — the two form a loop.

Answer: (B)

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